

Financial Industry Regulatory Authority (FINRA) This is the largest independent regulator for all securities firms doing business in the United States dedicated to investor protection and market integrity through regulation and complementary compliance.

First-In, First-Out (FIFO) A method for calculating taxable gain or loss when mutual fund shares are sold. The FIFO method assumes that the first shares sold were the first shares purchased.

Front-End Load A sales commission charged at the time of purchase by some mutual funds and other investment vehicles.

Full Faith and Credit A pledge to pay interest and principal on a bond issued by the government.

Fund Family A group of mutual funds sponsored by the same organization, often offering exchange privileges between funds and combined account statements for multiple funds.

Fundamental Analysis Examining a company's financial statements and operations as a means of forecasting stock price movements.

Futures/Futures Contracts Contracts to buy or sell specific amounts of a specific commodity (such as grain or foreign currency) for an agreed-upon price at a certain time in the future.

Global Fund A mutual fund that invests in stocks of companies in both the United States and foreign countries.

Gross Domestic Product (GDP) The value of all goods and services provided by U.S. labor in a given year. One of the primary measures of the U.S. economy, the GDP is issued quarterly by the Department of Commerce.

Hedge A strategy in which one investment is used to offset the risk of another.

High-Yield Fund A mutual fund that invests primarily in bonds with a credit rating of BB or lower. Because of the speculative nature of high-yield bonds, high-yield funds are subject to greater share price volatility and greater credit risk than other types of bond funds.